

Backtesting Validation Template

Signal Pilot Education — companion to Lesson 63: Backtesting as Evidence.

A backtest is a hypothesis about a set of rules. This template is for attacking that hypothesis before you trust it.

Educational only. Trading involves substantial risk of loss. Not financial advice. Past performance does not guarantee future results. A backtest describes the past of one dataset and is not a forecast.

1. Describe the test

Field	Entry
Rules, written so someone else could follow them	
Symbol(s)	
Timeframe	
In-sample period	
Out-of-sample period (untouched during design)	
Number of trades, in-sample	
Number of trades, out-of-sample	
Costs modelled (spread, commission, slippage)	

If the rules cannot be written down precisely enough for someone else to reproduce them, there is nothing to validate yet.

2. Red flag detector

Score each honestly. Every "yes" is a reason to distrust the result.

#	Red flag	Yes / No
1	Fewer than 30 trades in the sample	
2	The rules were adjusted after seeing the results	
3	More than three tunable parameters	
4	A small parameter change collapses the outcome	
5	Results come from one market regime only	
6	No transaction costs or slippage modelled	
7	Entries assume fills at prices that may not have been available	
8	Any rule uses information not available at that bar's close	
9	Losing periods were excluded as "unusual"	
10	The equity curve depends on one or two outsized results	
11	No out-of-sample period was held back	
12	The out-of-sample period was re-used after a failed attempt	

Flag 8 is the fatal one. Lookahead makes every other number meaningless. Confirm that each rule could have been evaluated at the close of the bar it acts on, and that any indicator involved does not revise past values.

3. Scorecard

Metric	In-sample	Out-of-sample	Gap
Trades			
Win rate			
Average winner			
Average loser			
Payoff ratio			
Expectancy per trade			
Average R			
Largest drawdown			
Longest losing streak			
Result excluding the best 3 trades			

The **gap** column is the point of the exercise. A result that survives out-of-sample with a small gap is worth more than a better in-sample number with a large one. The final row is a blunt but effective concentration check.

4. Out-of-sample framework

1. Split the data before designing anything. Roughly 70% in-sample, 30% held back.
2. Build and tune only on the in-sample portion.
3. Run the held-back portion **once**.
4. If it fails, the honest options are to abandon the rules or to gather new data. Re-tuning and re-running the same held-back data destroys it as a test — it becomes in-sample the moment you learn from it.
5. Record every attempt below, including abandoned ones. The count of attempts is itself information: enough attempts will eventually produce a good result by chance alone.

Attempt	Date	What changed	OOS outcome	Kept?
1				
2				
3				

5. Verdict

Question	Answer
Red flags triggered	/ 12
Did the result survive out-of-sample?	
Does it survive removing the best 3 trades?	
Is the sample large enough to mean anything?	
What would falsify this?	
Decision	Discard / Retest / Forward-test on paper

The default is **paper first**. A backtest that survives this template has earned a forward test, not capital.